JACKSON ELECTRIC MEMBERSHIP CORPORATION

SCHEDULE MBS-22

MARKET BASED SERVICE

AVAILABILITY:

To all qualified customers in the area served by the Cooperative. Availability will be determined on a case-by-case basis at the sole discretion of the Cooperative.

APPLICABILITY:

To customers over 900 kW connected demand taking delivery at a standard voltage at a single point of delivery.

MONTHLY RATE:

The total monthly charge will be the sum of the following:

Energy Charge (EC): Energy Charge will consist of the following components:
These charges may be determined on a case-by-case basis at the discretion of the Cooperative, subject to market prices, availability, contract terms, load characteristics and type of service provided.

KWH Charge
Transmission Charge
Fixed Cost Recovery Charge
Substation Charge
Line Loss Charge

Facilities Charge (FC): An amount equal to (1/12) of the annual allocated cost of providing service consisting of the following components:

Operation and Maintenance
Customer Accounting
Customer Service
Sales
Administrative & General
Taxes
Capital Costs - Allocated Plant
Capital Costs - Direct Plant

Total Charge (TC): TC = EC + FC

Margin Cost (MC): An amount equal to:

First $15,000 of TC	3.0%, plus
Next $35,000 of TC	2.5%, plus
Over $50,000 of TC	2.0%

TERMS OF PAYMENT:

If the account is not paid by due date, a late fee in the amount specified in the Service Rules and Regulations may be added to the account. Further failure to pay a bill may subject a customer to disconnection and/or disconnection charges in accordance with the Cooperative's rules and regulations.

All charges are subject to applicable taxes.

CONTRACT PERIOD:

As specified in the Agreement for Electric Service